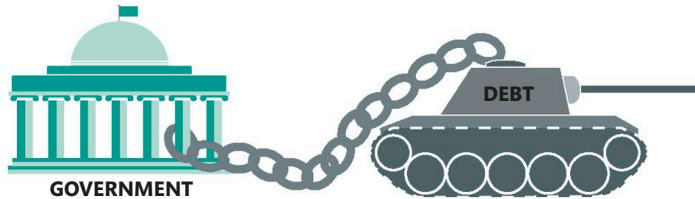




GOVERNMENT DEBTS RISE IN WARTIME

War imposes exceptional demands on government spending. Governments typically finance this by borrowing money. The first ever government debts, in the 17th century, were a result of borrowing to fund military campaigns.



NEED TO KNOW

- **Public/national/sovereign debt**
Total debt owed by a government.
- **Internal debts** Money that is borrowed from within a government's own country.
- **External debts** Money that is borrowed from abroad.

